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Our Question

“ How should Airbnb reposition itself publicly and operationally in response to the political narrative that short-term rentals worsen urban housing affordability, in order to reduce regulatory risk in major U.S. cities? “

Why it works?

- Relevant
- Timely
- Board Worthy

What Success Looks Like

- Protect core supply in cities
- Reduce political+brand risk
- Show why the team adds judgment beyond AI output

How we used AI

Prompt 1 - Context

- Gave business model
- Explained regulation issue in big cities
- Explained key factors to think about

Prompt 2 - Mindset

- Told AI to think as a senior strategy consultant
- Told it to reference all of the information from previous prompt

Prompt 3 - Report

- Input our question
- Told AI to reference all previous mindset and context assigned
- Come up with various scenarios

AI Highlights Problems, but Lacks Actionable Strategic Guidance

Quality AI Points

- Regulation is an imminent threat
- Improved compliance and stakeholder relations is necessary
- Growth cannot only rely on major cities, needs to diversify business

What AI misses

- Regulation is treated uniformly across cities, it will not be
- Glosses over difficulty of implementation and negative effects
- Fails to identify where Airbnb should fight, partner, or pivot

PESTEL Analysis

High Impact

- **Political**
 - Voter pressure
- **Legal**
 - Permits
 - Night caps
 - Zoning
- **Social**
 - Community disruption
 - Housing scarcity
- **Technological**
 - Ai improve matching + Support
 - Policy Friction

Strategic Takeaway

- **Demand is not the issue**
 - Government can choke supply in high value markets
- **Implication**
 - Needs market by market strategy
- **Risk**
 - One size fits all resistance damaging markets
- **Opportunity**
 - Grow in lower-friction regions and categories
- **Board View**
 - Treat regulation as capital allocation and access problem

Porters 5 Forces



Image created by Perplexity

- Scarce legal supply increases host leverage
- Hotels gain strength in highly regulated markets
- Airbnb must stay legal, trusted, and locally adaptable
- Focus on selective markets where it can win structurally

VRIO



global demand,
trust systems, and
host network still
create strong
platform utility

few firms have
Airbnb's scale
of distributed
non-hotel
supply

reviews,
behavioral data,
and two-sided
network learning
are hard to copy
quickly

only if Airbnb
restructures around
city-specific
compliance and
market prioritization

AI Consulting Lacks Judgment, Prioritization and Execution Realism

Why our team delivers more than AI-generated recommendations

What AI can do

- Generate options quickly
- Summarize external threats
- Pulls together large amounts of information
- Offer broad strategic paths



What our team adds

- Framework-based critique of assumptions
- Clear prioritization across cities and actions
- Aligns recommendations with company constraints and goals
- A recommendation the CEO could actually execute and defend

Cost Leadership/Differentiation

- Airbnb should avoid competing on price due to regulatory constraints
- Focus on differentiation: unique stays, trusted hosts, flexible travel
- Prioritize quality and legitimacy over sheer volume
- Defend premium positioning and shift commodity growth elsewhere



How Airbnb Should Execute

Build



- Internal compliance intelligence
- Host Verification
- City Risk Scoring

0-6 months

Segment markets by strategic value and regulatory feasibility.

Borrow



- Partner with local governments
- Tourism boards
- Vetted operators

6-12 months

Launch pilot compliance playbooks in priority cities.

Buy



- Acquire or integrate specialist tools
- Permitting
- Enforcement monitoring
- Local compliance automation.

12-24 months

Scale partnerships, category diversification, and AI-enabled host support globally.

Airbnb should stop treating regulation as a universal battle.

Protect

- Defend economically attractive markets where legal pathways still exist



Professionalize

- Turn compliance and AI-enabled support into operating capabilities



Pivot

- Rebalance growth toward expansion markets, hotels, services, and experiences

